

Organizational Structure



Chapter 10

Organizational Structure

An **organizational structure** defines how job tasks are formally divided, grouped, and coordinated.



Simple Structure

- Simple structure is a basic organizational design structure with **low departmentalization**, little work specialization, wide spans of control, centralized authority (typically the owner has most of the power) and little formalization or rules that govern operation.
- The strength of the simple structure lies in its simplicity.
- It's fast, flexible, and inexpensive to operate, and accountability is clear.
- One major weakness is that it becomes increasingly inadequate as an organization grows.



The Bureaucracy

- The **bureaucracy** is characterized by highly routine operating tasks achieved through specialization
- Very formalized rules and regulations, tasks grouped into functional departments, centralized authority.
- Narrow spans of control, and decision making that follows the chain of command.
- Standardization is key concept that underlies all bureaucracies.
- **Advantages** – Low cost, high economies of scale, high accountability
- **Disadvantages** - Obsessive concern with following the rules, Less flexibility, and less innovation

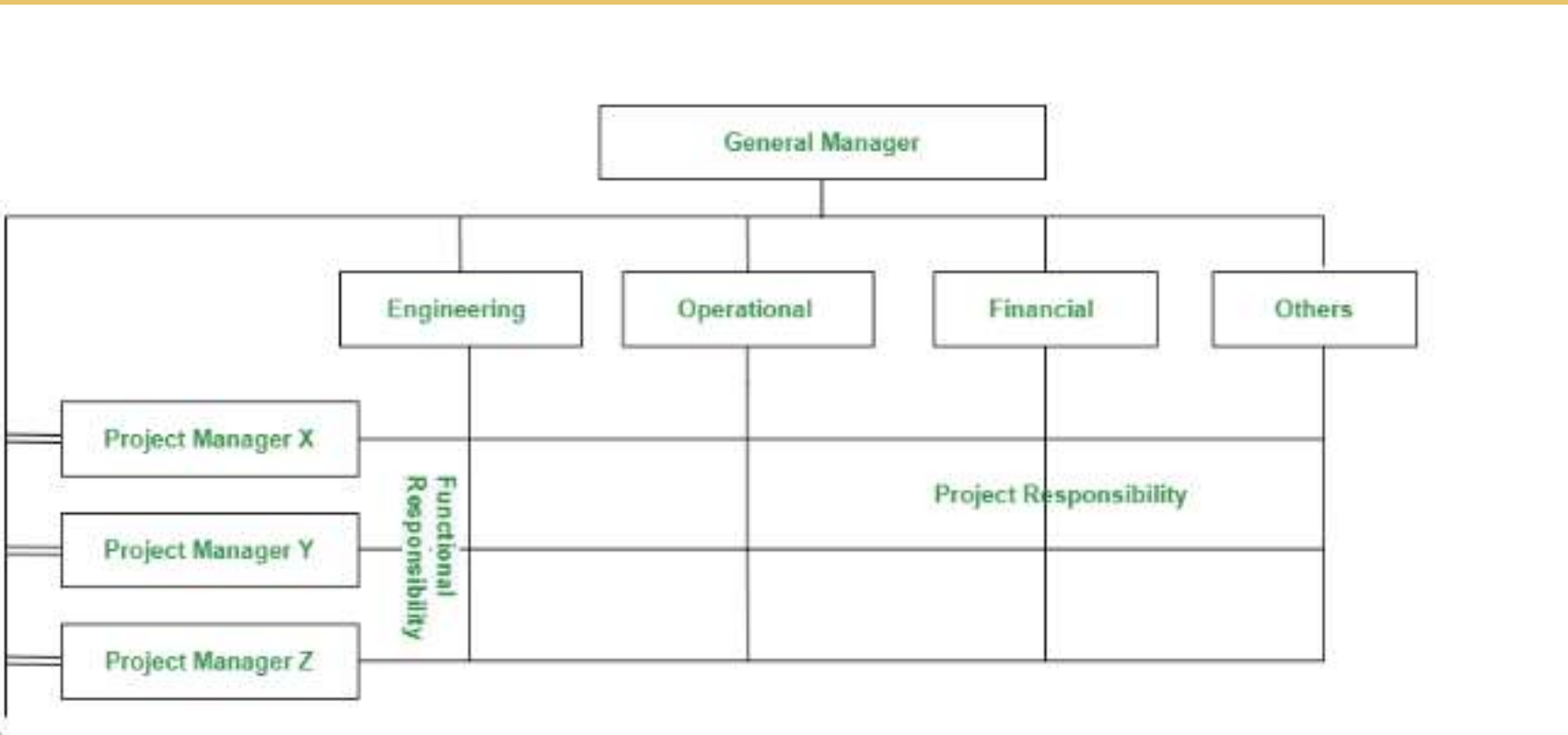


Matrix Structure

- In a matrix structure, individuals work across teams and projects as well as within their own department or function. (Mix of Product & Functional Organizational Structure)
- Dual Lines of Authority
- For example, a project or task team established to develop a new product might include engineers and design specialists as well as those with marketing, financial, personnel and production skills.
- Advantage – Team work, Innovation, Complex Project management
- Disadvantage – Confusion, Conflict and Complexity



Matrix Structure



The Boundaryless Organization

- A boundaryless organization is an organization that actively removes boundaries to innovation
- It has less hierarchy and functional separation and is more integrated.
- This allows for a free flow of information, ideas, and innovations
- E.g – G.E
- Advantage – Increased innovation, Increased flexibility, increased engagement
- Disadvantage - the potential for conflict, confusion, the lack of clear lines of authority and responsibility

Reducing Four Types of Boundaries



Vertical boundaries

*Information flows freely
as management layers are removed*



Horizontal boundaries

*Removing departments and silos
enables cross-functional collaboration*



External boundaries

*Stimulate innovation by closely
integrating customers and suppliers*



Geographical boundaries

*Integrate different geographies to
spread & implement innovation faster*

Why every employee of this company is working in cross-functional teams

Employees at Meesho are not sitting team-wise; they are sitting POD-wise. Nobody has a cabin here, even the Founders! The company shifted to the POD-based work seat arrangement this January when it moved to the new office. Every employee in the company is mapped to at least one Project-Oriented Development (POD). At present, there would be around 200 to 300 PODs working on that many problem statements. And the interesting fact is that every person's goal and OKR (Objectives and Key Results) within a particular POD will be the same!



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Highlights

- Every employee is mapped to at least one Project-Oriented Development (POD).
- Currently, there would be around 200 to 300 PODs working on that many problem statements.
- At present, there are two-thirds of multifunctional PODs and about one-third of uni-functional PODs in the company.
- There are even 'silent rooms' in the office at different corners for people who want to sit alone and do their work. For instance, if a person wants a quiet space to do coding, they can get into the silent room.



Steve Jobs - Organizational Structure

